in the revised budget for 2020–21. Likewise, investing Rs 10,000 crore over the next few years, when the total investment made by SME funds was only a little over Rs 60 crore, was nothing but a daydream. It would be advisable to have a more realistic ambition for the Fund of Funds rather than announcing grandiose but unattainable goals.

MSMEs Were Hit Hard in the Lockdown

The economic lockdown imposed in India on 24 March shuttered about 70 per cent of the economy for five weeks. As everyone was asked to stay home and no non-essential manufacturing or service businesses were allowed, small businesses or MSMEs suffered the most. More than 90 per cent of MSMEs, or about 7 crore MSMEs, could no longer carry on with business across sectors, from mining, construction and manufacturing to providing services through shops and roadside establishments. All small entrepreneurs delivering personal services, where MSMEs are mostly engaged, had to close their doors, rendering entrepreneurs and workers redundant.

MSMEs suffered in many ways: First, most could not produce and sell any goods and services during the first forty-day lockdown period. At least 90 per cent of MSMEs, numbering over 7 crore, simply shut shop. For a period of at least forty days, they received no income. Though they could avoid the cost of inputs, they had to bear several fixed costs, such as rents, interest payments (moratorium even when granted is only postponement of interest payment, not waiver), some wage payments, and maintenance expenditure. Most MSMEs were not in a position to live with this liability. Unless supported, millions were in danger of simply closing down and defaulting on their obligations.

Second, these 8 crore MSMEs employed about 15 crore workers. Barring a few medium and small industries, most were not able to pay wages. For the self-employed/own-account micro-entrepreneur, net income